

- The rates offered by competing banks and other financing houses
- Your credit history (payment schedules, amounts and credit utilization percentage (ex: 20,000 of a 40,000 limit - 50%))
- Your situation at work and a letter of recommendation from your boss (a glowing report of your work aka *you're unlikely to be fired and will have a steady income*)
- The relationship with the bank (years of RD, FD and credit cards held)
- Your automation plan: you'll be paying the EMI's right after you receive the monthly salary (just like automated systems for retirement investing, credit cards etc.; more in detail by week 4).

Diffusing every insecurity the bank can have, you can negotiate your way into a lower rate.

As it stands, 80% of Indians do not have a credit score and can't get access to credit. It's a big mistake and I hope the trend reverses. Right now, you might say "*But Pranav, I don't have any use for a credit score.*" True, but down the line, when we hope to move up in life by buying a car or a home, this will come in handy. Most of our big purchases will be with some percentage of credit and building a report from the outset is prudent. The process is very simple: just pay what you owe on your card statement every month and your credit score will be high enough for the bank to sanction your loan with lower interest.

How Credit Cards can make you Rich

Illustration: Imagine you and your friend popped to the bank looking for home loans. You have a credit report of 4 years where you promptly paid the credit card balance on time every month. But your friend took his parent's advice and stayed away from credit cards. The bank will quote you around 9% and your friend will almost always be quoted 11% or above. At best, he can negotiate it down to 10% if he has a Checking Account in that bank and at worst he might be rejected for no credit history. If you think the 1% in interest isn't much, whip out an excel sheet and you'll see the big difference.